Palantir Technologies Inc.

PLTR NYSE

Hold	$193.51 ▼ 2.63%	12M Price Target $210.00	52-Week Range $106.37 – $212.94	Market Cap $465.02B

PLTR: Profit-Taking After Run, But Policy Winds Still Blow

WHAT HAPPENED

- PLTR dropped 2.6% on noticeably lighter volume (~10M shares vs 17-20M recent average) — that tells me this isn't institutions dumping, it's more like profit-taking into an earnings run. PLTR reports next week, and the stock is sitting at 82% of its 52-week range, so people are locking in gains before the print.
- No news, no filings — this is pure positioning. The near-term options flow is still screaming bullish (Put/Call of 0.61, big unusual call buying at $195 and $197.5 strikes), so traders are betting the earnings beat is coming.

WHY IT MATTERS

Here's the tension: options traders are leaning aggressively bullish into earnings, but a director (Alexander Moore) dumped ~$1M of stock two weeks ago in a cluster — that's insider-speak for "I think this is fully valued short-term." When you see smart-money options bullish AND insider selling, it usually means earnings will be fine but the stock is priced for a blowout, not just a beat. The bigger picture working in PLTR's favor: the FY2026 defense budget is tracking toward record levels, and the Pentagon's push to consolidate AI/data vendors under fewer prime contractors structurally favors Palantir. But at ~$465B market cap and ~95x forward sales, you're paying for 3 years of flawless execution — any wobble on commercial growth or TITAN/Maven contract renewals and this gets ugly fast.

POLICY & POLITICAL WATCH

The big one to watch: the FY2027 NDAA (National Defense Authorization Act — the annual bill that sets Pentagon spending priorities) is being marked up now, and language around "AI-enabled command and control" is expanding — that's literally Palantir's Maven and TITAN product line. Separately, the administration's push to accelerate AI adoption across federal civilian agencies (via OMB directives) is quietly expanding PLTR's addressable market beyond DoD into HHS, Treasury, and IRS. Headwind to watch: there's growing bipartisan noise about sole-source contracting reform — if Congress forces more competitive bidding on AI contracts, Palantir's incumbency advantage shrinks.

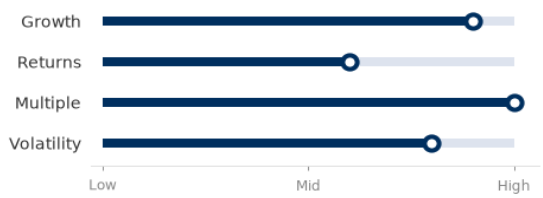
IS IT EXPENSIVE?

This is the hard part — investors are paying roughly $95 for every $1 of revenue Palantir will generate next year. For context, Snowflake trades around $15, Microsoft around $13. The only way that math works is if PLTR keeps growing 30%+ AND government AI spending accelerates — if either breaks, the multiple compresses hard. Translation: the business is great, but you're not buying a cheap stock, you're buying a story that has to keep delivering.

Key Data

Price (USD)	**$193.51**
12M Price Target	**$210.00**
Upside / (Downside)	**+8.5%**
Market Cap	**$465.02B**
FY2026E Revenue	**$4,850M**
FY2027E Revenue	**$6,400M**
FY2026E EPS	**$0.72**
FY2027E EPS	**$0.98**
Fwd P/E	**268.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

PLTR — Palantir Technologies Inc. | October 28, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$215.00**	$195.00	**$170.00**
6 Months	**$240.00**	$200.00	**$150.00**
1 Year	**$260.00**	$210.00	**$140.00**
2 Years	**$320.00**	$230.00	**$120.00**
5 Years	**$450.00**	$280.00	**$100.00**
10 Years	**$700.00**	$400.00	**$80.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+0.92%) is leading — likely geopolitical premium and resilient demand. Healthcare quietly bid up too, suggesting defensive rotation.

COOLING OFF: Consumer Staples down on the day and week — classic sign the market isn't scared, just rotating. Industrials flat suggests tariff/trade uncertainty is capping that trade.

ROTATION WATCH: Tech is holding up (+0.22%) but PLTR specifically underperformed its sector today — that's a stock-specific story (pre-earnings de-risking), not a sector-wide move. When a leader lags its index on light volume, it's usually healthy consolidation.

RELATED PLAY: If you believe the defense AI thesis, look at the pure-play defense primes (LMT, RTX) and the data infrastructure that AI workloads run on — hyperscalers and specialized data center names benefit from the same federal AI spending wave.

WHO'S WINNING IN THIS SPACE?

- ANET (Arista Networks): AI networking buildout — the picks-and-shovels winner as hyperscalers expand.
- AXON (Axon Enterprise): Another government-adjacent AI/data play benefiting from public sector tech modernization.

PLTR CONTEXT: PLTR is lagging the tech tape today but has crushed it YTD — this is a leader taking a breather, not losing leadership. As long as it holds $185, the uptrend is intact. Break $180 and the technical picture gets ugly fast.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I'm nervous about the price. Great company, demanding valuation, binary near-term catalyst.

POSITION SIZE: 2-4% — this isn't a 10% conviction play at $193. The upside is real but asymmetric risk/reward has shifted since the stock doubled.

ENTRY POINTS: I'd rather chase on strength above $215 (confirmed breakout post-earnings) than add here. For new positions, $170-180 on any macro-driven pullback is the sweet spot.

TIME HORIZON: 12-24 months — the thesis plays out as FY2027 NDAA passes and commercial revenue scales. Near-term catalyst is earnings next week.

WHEN TO BAIL: Commercial growth drops below 40% YoY, any major DoD contract loss, or the stock breaks and holds below $170 on volume.

HEDGING: Simplest hedge — buy a put option around the $180 strike as insurance before earnings. Costs you some premium but caps your downside if the earnings reaction disappoints. If you don't do options, trim 25% of your position into earnings and buy it back after.

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